

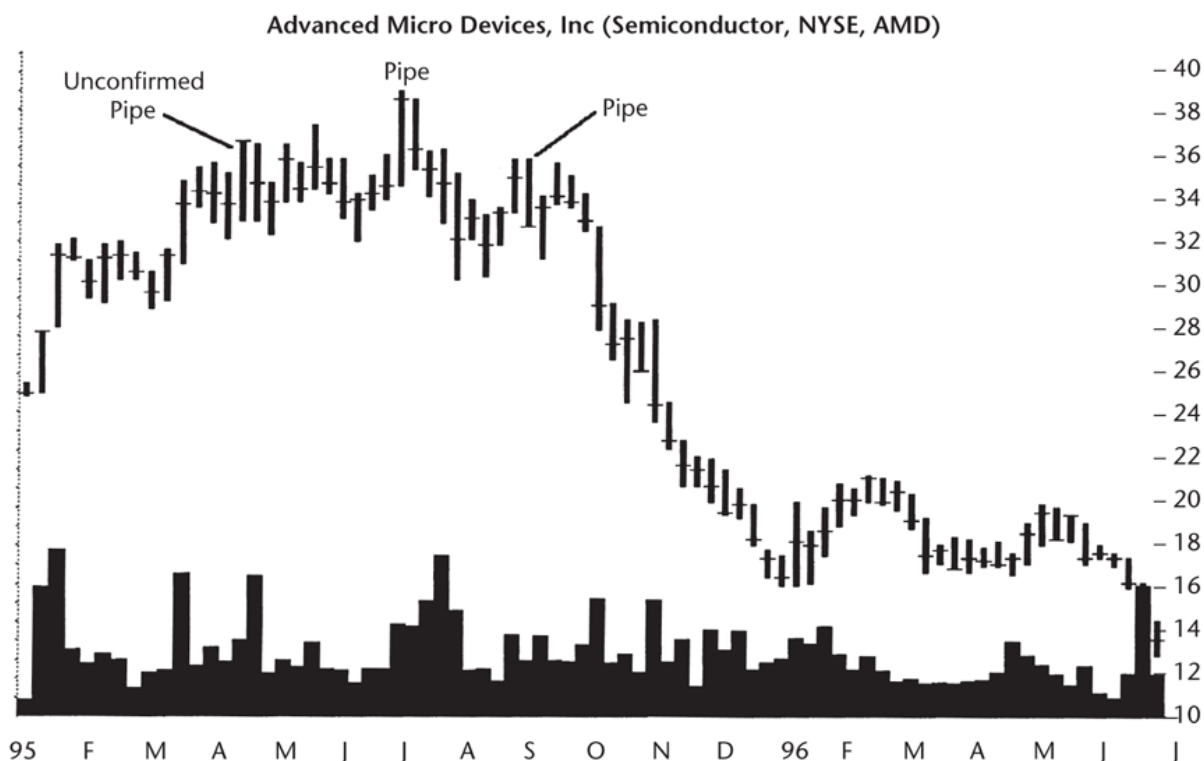


Figure 50.1 The pipe on the left is not a pipe at all because price does not close below the formation low before rising above the top. Note: Weekly scale.

Table 50.1 Identification Guidelines

Characteristic	Discussion
Appearance	Look for price to form a twin spike peak, one that towers well above the surrounding weeks.
Weekly chart	Pipe tops on the daily price chart exist, but pipes on the weekly charts perform better. Use the weekly scale.
Two upward adjacent spikes	Locate two adjacent and upward price spikes. The spikes should be unusually tall, taller than most upward spikes during the year. The pipe should stand alone as the prior week and the following week have high prices that are near the pipe bottoms.
Volume	Not a prerequisite, but most pipes (86%) show above-average volume on at least one or both spikes.